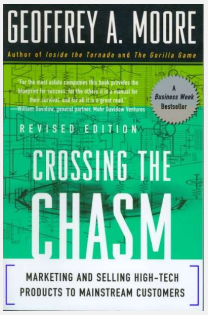


Crossing the Chasm

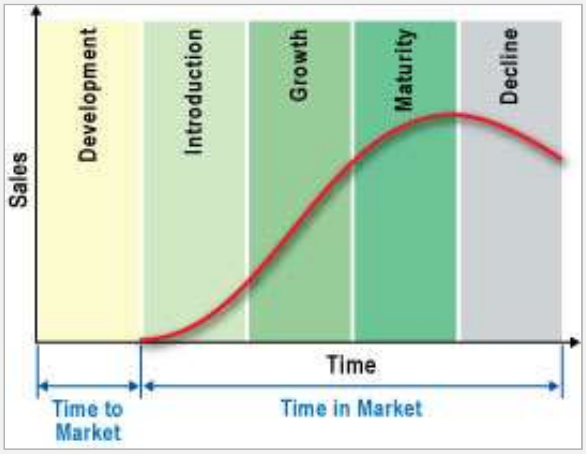
High-Tech Marketing

Penn Engineering

1

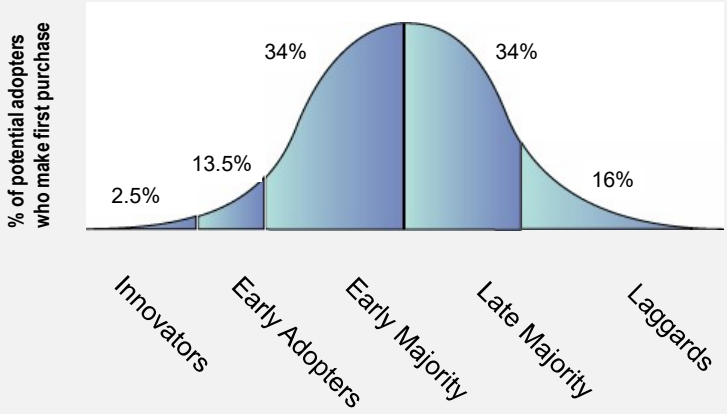
Life Cycle of Tech Products

Subject to Obsolescence



2

Market Diffusion of Innovations



E. Rogers, "Diffusion of Innovations"

3

"Word of Mouth"

… the number one source of information <u>referenced</u> by buyers in high-tech markets.

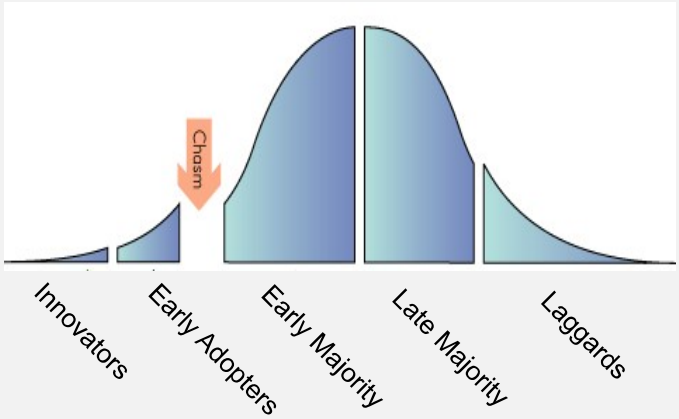
4

High Tech Market Segments

- Potential customers
- Having a common set of needs or wants
- **Who reference each other when deciding**

5

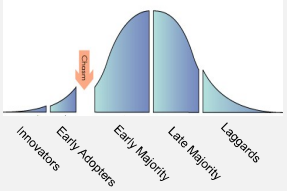
High-Tech Market Diffusion



- G.A.Moore, "Crossing the Chasm"

6

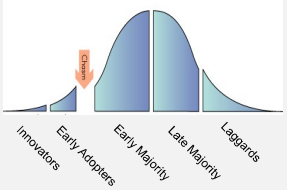
Psychographics



- Psychology + Demographics
- Each group represents a unique psychographic profile:
  - Drivers of Demand differ

7

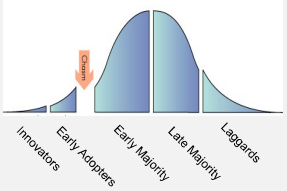
1. Innovators



- Technology enthusiasts
- Provide objective <u>feedback</u>
- Recognize technical advantage
- Endorsement reassures others

8

2. Early Adopters



- Visionaries:
  - View new technology as strategic opportunity
- Willing to take risk
- Least price sensitive of all groups
- Easy to sell, but hard to please
  - … and we don't have the time

9

Managing the Early Adopter

- Often you don't find them, they find you.
  - Seed the press, the web, & conferences
- Understand and market to the "dream."
  - Give them confidence you can do it.
  - Manage expectations.
    - Do not commit to the unachievable
    - Divide "project" into phases with a "product" for each
- Contact with VP-level decision makers.

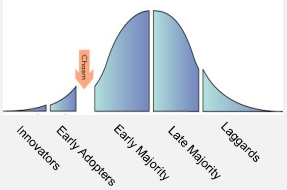
10

Early Adopter Benefits

- High visibility
  - Serve as a high-profile reference
  - Attract the business press
  - Attract additional customers
- Hidden source of venture capital
- Early “burst” of revenue

11

3. Early Majority



- Pragmatists
  - Accepting of new technology if practical
- Risk managers
  - Require well established references
  - Intolerant of bugs & glitches

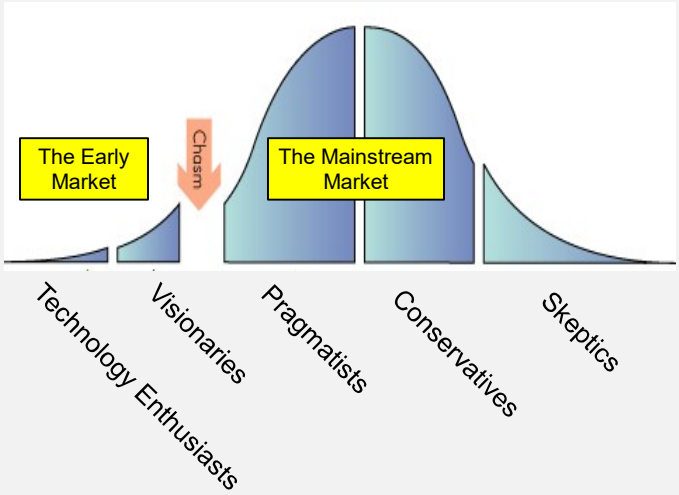
12

3. Early Majority (Cont'd)

- Want the industry standard from the industry leader
- Care who they are buying from
  - Buyers have stable, career commitments
- Reasonably price sensitive

13

The Chasm



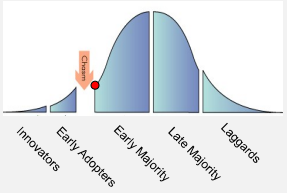
14

Early Majority Benefits

- "Across the chasm":
  - Self-referencing to 1/3 of market
  - Respected by the conservative late majority
- Hard to win over, but loyal once won:
  - They have a vested interest in your success
  - If you're not already, they help you become the industry standard (dominant design)
  - Creates barriers to entry for competitors
- Standardization "dominant design" benefits
  - Increased sales
  - Lower costs of sales
- 3rd party aftermarket developers follow the market leader

15

Crossing the Chasm



- Window of opportunity
  - Be the first to market ... with the RIGHT product
  - Be the market leader (the industry standard)
- Segment! Segment! Segment!
  - Isolate the psychographics esp. self-referencing
  - Leverage word-of-mouth & viral communication
  - Focus on achieving dominance in a NICHE market segment (a "small pond")

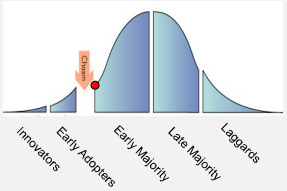
16

Segment Criteria

- Homogeneous psychographics
- Identifiable
- Accessible
- Significant size
- **Tightly-bound and self-referencing**

17

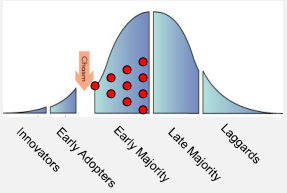
Crossing the Chasm:
Secure a Beachhead Niche



- Focus on the target:
  - Be conversant in their business
  - Industry-specific trade shows, magazines, websites, etc
  - Market industry-specific applications
  - Form partnerships with established channels
  - Establish trust/reputation for quality & service
- Become the obvious supplier of choice

18

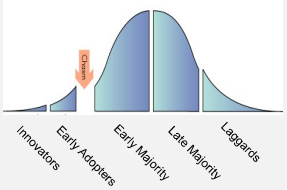
Once Across, Stay There!



- Create a reference-able customer base
  - Satisfy their buying objectives
  - Deliver a “whole product”
- Then go pond hopping
  - Re-position as needed

19

4. Late Majority



- Conservatives:
  - Wait for established industry standards
  - Buy from well established companies
- Follow the early majority
- Highly profitable 1/3 of market.

20

Palm Computing:
The Pilot Organizer

Jeff Hawkins

Donna Dubinsky

21

Operational Strategies

Integrator

Description
Manage all the steps necessary to generate profits from an idea.

Investment requirements
High. Capital may be needed to set up new manufacturing facilities, for instance.

Capability requirements
- Strong cross-functional links within organization
- Product design
- Manufacturing-process design skills
- Technical talent sourcing

Best used when
- speed-to-market is not critical.
- technology is proven.
- customer tastes are stable.
- innovation is incremental.

Orchestrator

Description
Focus on some steps and link with partners to carry out the rest.

Investment requirements
Medium. Capital may be needed only to market the product, for example.

Capability requirements
- Ability to collaborate with several partners simultaneously, while not having direct control
- Complex project-management skills
- Customer insight
- Brand management
- Culture that can let go of certain areas, while focusing on core competencies
- Ability to move quickly; nimbleness

Best used when
- there is a mature supplier/partner base.
- there is intense competition – a need for constant innovation.
- strong substitutes exist.
- technology is in early stages.

Licensor

Description
License the innovation to another company to take it to market.

Investment requirements
Low. Manufacturing and marketing expenses are borne by other companies.

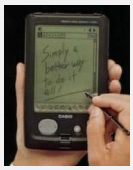
Capability requirements
- Intellectual-property management skills
- Basic research capabilities
- Contracting skills
- Ability to influence standards

Best used when
- there is strong intellectual property protection.
- importance of innovator's brand is low.
- market is new to the innovator.
- significant infrastructure is needed but not yet developed.

Andrew, James P. and Harold L. Sirkin. "Innovating for Cash." *Harvard Business Review*. Sept 2003

22

Investor &
Joint Venture Partner:



Software | O/S License | Design, Manufacture & Market

23

Palm's Extended Virtual Team

Turnkey Manufacturing Company

Software | Design | Manufacture | Channel to Mkt

24

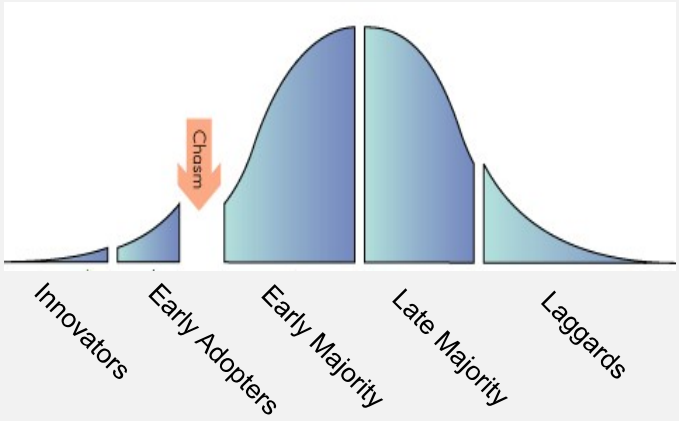
Pen & Paper

Newton / Zoomer

Palm Pilot

25

Feb 1997: Where is the Palm Pilot?



26

What was Palm's target market segment in 1999?

27